

Ticker: SKE CN **Pro-forma cash:** C\$76m **Project:** Eskay Creek
Market cap: C\$702m **Price:** C\$3.24/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET** (unc): C\$4.30/sh **RISK RATING:** HIGH

*Today's metallurgical results showing 25g/t Au concentrate grade optimised, and some samples grading in excess of 60g/t, are a further de-risking step toward the upcoming PFS. We see some flow-through upside here too, for example a faster-float likely flows through to capex savings to offset any creep if it emerges. Looking ahead, this should provide specifications required to engage with off-takers in more detail. Outside this, we expect the spring MRE update and mid-year PFS should drive momentum in this name. We expect an ounce lift in the MRE, with some high-grade pit material being added, but also lower grade northern pit material for a ~flat grade, but with lots of assays / drilling yet to be incorporated. Thereafter, we see the PFS as all about de-risking the project, retaining our view that the pit-grades give more than enough leeway here, but with today's results increasingly supportive of a PEA-match, or beat, on payability, all the more given only a few years up front have any penalty. **We maintain our BUY rating and 0.6xNAV_{5%-1850-24} price target of C\$4.30/sh.** As one of the few development assets in Canada with visibility on producing more than 150koz/yr, this de-risking should open up access to a material scarcity premium.*

Eskay 2020 PFS test-work confirms metallurgy and flowsheet; PFS on track for mid-year

Metallurgical work published ahead of the upcoming PFS highlights potential to generate good concentrate grades without significant loss in gold recovery compared to the PEA. **Flowsheet optimization:** the inclusion of a desliming stage shows an improved flotation response for the coarse material and the modified flowsheet allows for separate flotation of the coarse and fine fraction—reducing regrind requirements and a smaller flotation circuit. **Good concentrate grades reported:** the updated flowsheet tests results show the ability to generate 25 g/t concentrate grade, although some samples graded in excess of 60 g/t Au (compared to 40-55g/t in the PEA) have been returned. Additionally, silver concentrate grades are expected to be between 500 g/t and 900 g/t with arsenic and mercury penalties only in Y1-3 offset by higher gold-grade as arsenic and mercury drop to <0.5% and <300ppm, respectively, from Y4 onward.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Recent engineering hires give strong well balanced geological and engineering teams
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1Q21: First assays from ABX 25m now-removed buffer zone
- 1H21: Results from six rigs drilling 21A, 21B, 21C for PFS infill
- 1H21: 25 holes into 200 footwall at Snip
- 1H21/4Q21: PFS/DFS
- 1Q22/1Q24: Build start, first pour

Research

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Ticker: SKE CN		Price / mkt cap: C\$3.24/sh, C\$702m					Project PNAV today: 0.52x		Asset: Eskay Creek / Snip					
Author: B Salier/ B Gaspar		Rec / 0.6xNAV PT: BUY, C\$4.3/sh					1xNAV _{1Q21} FF FD: C\$6.27/sh		Country: Canada: BC					
Commodity price		CY18A	CY19A	CY20E	CY21E	CY22E	Resource / Reserve		AuEq (koz)		AuEq (g/t)			
Gold price		1,850	1,850	1,850	1,850	1,850	Meas., indicated and inferred		3515koz		4.59g/t			
SOTP project valuation*							Underground resource		236koz		6.59g/t			
		C\$m	O/ship	NAVx	C\$/sh		Snip		646koz		13.60g/t			
Ungeared proj. @ build start (2Q22)		1,558	100%	1.00x	6.40		Funding: uses		Funding: sources					
Cash 3Q20 + raise		76	100%	1.00x	0.31		PFS capex		C\$303m	SCPe 1Q20 cash + options cash*		C\$59m		
Cash from options		41	100%	1.00x	0.17		SCPe G&A to 1st Au + ABX \$		C\$15m	2Q20 raise		C\$33m		
Snip (US\$75/oz)		63	100%	1.00x	0.26		SCPe pre-production expl'n		C\$11m	Mine debt @ 60% gearing		C\$212m		
Asset NAV5% C\$1850/oz		1,739			7.14		SCPe finance costs + wkg cap		C\$71m	Mine build equity at 20% prem.		C\$150m		
*Shares diluted for options but not mine build		Market P/NAV _{8% 2Q20}					0.45x	Total uses		C\$400m	Total proceeds		C\$453m	
Asset value: 1xNPV project @ build start (C\$m, ungeared)*							*Cash from options expiring pre first pour		Buffer				C\$54m	
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Share data							
10.0% discount		1,261	1,365	1,470	1,527	1,629	Basic shares (m)		216.8	FD with build equity raise		279.1		
7.5% discount		1,420	1,537	1,655	1,723	1,837	FD with options (m)		243.4					
5.0% discount		1,608	1,741	1,874	1,954	2,084	Ratio analysis							
Ungeared project IRR:		98%	105%	111%	110%	116%	Average shares out (m)		91.3	107.3	146.6	170.7	185.2	
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	EPS (C\$/sh)		-	-	-	-	-	
3.7g/t AuEq		1,310	1,429	1,549	1,668	1,787	CFPS (C\$/sh)		-	-	-	-	-	
4.1g/t AuEq		1,608	1,741	1,874	1,954	2,084	EV (C\$m)		294.6	335.9	461.3	534.1	757.0	
4.5g/t AuEq		1,858	2,000	2,142	2,285	2,427	FCF yield (%)		-	-	-	-	-	
NPV5 (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	PER (x)		-	-	-	-	-	
Payability: 67%		1,310	1,429	1,549	1,668	1,787	P/CF (x)		-	-	-	-	-	
Payability: 75%		1,608	1,741	1,874	1,954	2,084	EV/EBITDA (x)		-	-	-	-	-	
Payability: 82%		1,858	2,000	2,142	2,285	2,427	Income statement							
*Project level NPV, excl finance costs and central SGA, discounted to build start							Net revenue (C\$m)		-	-	-	-	-	
Group valuation over time^		1Q21	1Q22	1Q23	1Q24	1Q25	Gross profit (C\$m)							
Eskay Creek (C\$m)		1,484	1,558	1,780	2,038	1,689	D&A, attrib (C\$m)		0.2	0.4	-	-	-	
Net cash prior qtr (C\$m)		76	18	23	(153)	262	Admin (C\$m)		4.3	4.5	5.0	5.0	5.0	
G&A and finance costs (C\$m)		(84)	(83)	(82)	(73)	(54)	Expensed exploration (C\$m)		11.5	12.8	-	-	-	
Cash from options (C\$m)		41	41	41	41	41	Finance cost (C\$m)		(0.0)	(0.1)	-	-	(3.2)	
Snip		10	10	10	10	10	Royalty (C\$m)		-	-	-	-	-	
NAV FF FD (C\$m)		1,527	1,545	1,773	1,863	1,949	Forex, other (C\$m)		(0.5)	9.5	-	-	-	
1xNAV _{5%} /sh FF FD (C\$/sh)		6.27^	6.34^	6.35*	6.68*	6.98*	Taxes (C\$m)		-	-	-	-	-	
Equity ROI from spot (% pa)		96%		57%	44%	36%	Net income (C\$m)		(15.5)	(27.1)	(5.0)	(5.0)	(1.8)	
Geared company NAV diluted for mine build, net G&A and finance costs							Cash flow, attrib.		CY18A	CY19A	CY20E	CY21E	CY22E	
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	EBIT (C\$m)		(15.5)	(27.2)	(5.0)	(5.0)	(5.0)	
10.0% discount		4.80	5.21	5.62	5.85	6.25	Add back D&A (C\$m)		0.2	0.4	-	-	-	
7.5% discount		5.29	5.74	6.20	6.46	6.90	Less tax + net interest (C\$m)		(0.0)	(0.1)	-	-	(3.2)	
5.0% discount		5.86	6.36	6.86	7.16	7.65	Net change in wkg cap (C\$m)		(1.4)	4.2	-	-	-	
Geared project IRR:		89%	95%	102%	101%	107%	Add back other non-cash (C\$m)		1.6	12.0	-	-	-	
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Cash flow ops (C\$m)		(15.1)	(10.5)	(5.0)	(5.0)	(1.8)	
Payability: 67%		4.74	5.19	5.64	6.09	6.54	PP&E - build + sust. (C\$m)		3.2	0.6	-	(139.6)	(163.6)	
Payability: 75%		5.86	6.36	6.86	7.16	7.65	PP&E - expl'n (C\$m)		-	(0.2)	-	-	(10.7)	
Payability: 82%		6.80	7.34	7.87	8.41	8.94	Cash flow inv. (C\$m)		3.2	0.4	-	(139.6)	(174.3)	
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity							Share issue (C\$m)		12.0	22.1	-	150.0	-	
Production		Y1	Y2	Y3	Y4	Y5	Proceeds from sale (C\$m)		-	-	-	-	-	
Gold production (000oz)		439	360	359	339	354	Debt draw (repay) (C\$m)		-	-	-	70.6	141.2	
C1 cost (US\$/oz)		793	859	826	813	798	Cash flow fin. (C\$m)		12.0	22.1	-	220.6	141.2	
AISC cost (US\$/oz)		807	897	858	843	842	Net change in cash (C\$m)		0.1	12.0	(5.0)	76.0	(34.9)	
AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024							EBITDA (C\$m)		(15.4)	(26.8)	(5.0)	(5.0)	(5.0)	
							Balance sheet		CY18A	CY19A	CY20E	CY21E	CY22E	
500koz		Gold prod'n (LHS, 000oz)		AISC (RHS, US\$/oz Au)				Cash (C\$m)		1.1	13.1	18.1	94.1	59.2
400koz								Acc rec., inv, prepaid (C\$m)		3.7	2.8	5.2	5.2	5.2
300koz								PP&E + other (C\$m)		19.7	8.5	14.2	153.8	328.1
200koz								Total assets (C\$m)		24.6	24.4	37.5	253.1	392.5
100koz								Debt (C\$m)		-	1.5	4.5	75.1	216.3
0koz								Accounts payable (C\$m)		1.4	4.1	11.8	11.8	11.8
								Others (C\$m)		4.6	7.2	6.2	6.2	6.2
								Total liabilities (C\$m)		6.0	12.8	22.4	93.0	234.2
								Sh'hlds equity + wrnts (C\$m)		81.6	99.2	131.2	281.2	281.2
								Retained earn'gs + rsvs (C\$m)		(63.0)	(87.6)	(116.1)	(121.1)	(122.9)
								Liabilities + equity (C\$m)		24.6	24.4	37.5	253.1	392.5

Source: SCP estimates

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Summary of Recommendations as of January 2021	
BUY:	29
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	29

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